Smart Money Concept (SMC) - Quick Reference Guide

■ Concept	■ Meaning
BOS (Break of Structure)	Indicates continuation of trend.
CHOCH (Change of Character)	Signals possible trend reversal.
OB (Order Block)	Last bullish/bearish candle before a strong move.
FVG (Fair Value Gap)	Imbalance in price, usually revisited.
Liquidity ($$$)	Stop hunts above highs or below lows.
Sweep (x)	Liquidity grab before real move.
Inducement	Trick to lure traders before reversal.

■ SMC Entry Checklist

1. Identify Market Structure (HH/HL or LH/LL).
2. Look for BOS (Break of Structure).
3. Wait for CHOCH (Change of Character).
4. Confirm liquidity sweep (x / $$$).
5. Mark OB / FVG zone.
6. Enter on retest with confirmation.
7. Stop Loss below/above OB wick.
8. Target liquidity pools or next OB.

■ Risk Management

• Use 1-2% risk per trade. • Place SL beyond liquidity sweep. • Target 1:3 RR minimum. • Partial TP at internal liquidity, full TP at external liquidity.